

CHAPTER 9

MONEY IN OUR LIVES

Learning Outcomes

By the end of this chapter students will be able to:

1. Narrate with examples the evolution of money.
2. Understand that different countries have different currencies.
3. Describe the role of money in people's lives.
4. Interpret a graph of wages and professions to identify the relationship between the two.
5. List the various ways in which income is generated and describe how a business is run.

Evolution of Money

Whenever people pay for goods or services, they use some form of money. Money can be almost anything, as long as everyone agrees on its value.

Long, long ago (9000-6000BC) farm animals were often used as a unit of exchange.



Farm animals used as a unit of exchange

Later, as agriculture developed, people exchanged crops such as tea and tobacco and other things like cattle and seeds. Farm animals continued to be used for the exchange. This system of exchange was known as the barter system.



Commodities used for barter

In 1200 B.C. sea shells, known as Cowries in Africa and Wampum in America, were used as a form of money.



Cowries

In 1000 B.C. at the end of Stone Age, the Chinese started using metal tools like knives and spade to make metal circles. They used these circles/coins as money. These coins had holes in the middle so that they could be put on a chain and be carried around the neck.



Coins with holes used as money

Silver was used as money in 500 B.C. in Turkey. These silver coins were imprinted with the faces of emperors and gods to show the value. Later, other metals such as bronze and gold started being used as money.



Silver, gold and bronze used as money

In China in 118 B.C. leather was used as banknotes. They were made from deerskin.



Leather and deerskin used to make bank notes

The first country to have paper money, like we have today, was China. Paper money was made sometime during the period of ninth century to the fourteenth century AD. Since then and up-to today we use paper notes and coins as money.

With the advent of computers, it has become possible to trade electronically. In such cases no actual money is exchanged, but the values of the bank accounts of both the buyer and seller are instantly modified according to the agreed value of the transaction. This allows people to avoid the difficulties and risk of carrying money with them.



Paper money

Activity: Make a timeline to show how money has evolved over time.

Different Countries have Different Currencies

Different countries have different currencies, or kinds of money. The money of Pakistan is called the Rupee. The money of the United Arab Emirates is the Dirham. The money of the United States of America is the Dollar. The money of the United Kingdom is the Pound.



The Currencies of Different Countries

The Role of Money in People's Lives

Money plays a major role in the lives of most people. The more money people have, the more goods and services they can buy. People who have more money have a higher standard of living than those who have less money.

Money, also called currency, has three main functions in an economy.

1. It acts as a medium of payment or exchange. When people work on a job,

they are paid in currency that they can easily spend on things they need such as food, clothes, education, and health care. Money makes it easier to buy and sell.

2. Money also provides a measure of the value of a good or service. This allows people to **compare** different goods and services easily.
3. A third function of money is that it acts as a store of value over time. When we get money, we do not have to use it right away. We can **save** it and exchange it for goods and service at a later time.

Money that is earned is called **Income**. There are many ways to earn money. Two basic ways to earn money are given below.

1. One way is to make something that others are willing to buy. The something you make is called a **good**. For example making and selling homemade biscuits, lemonade or jewellery.
2. The other way is to do work that others are willing to pay you for. This work is called **service**. Examples of services include cutting hair, sewing clothes and mending shoes.

Activity: List the various ways in which income is generated.

Have you ever tried to sell a good or service to people outside your family perhaps to friends or neighbours? If you have, you were probably an **entrepreneur**.

An entrepreneur is, "A person who organizes and manages a business for the sake of profit." In short, an entrepreneur is a **business person** who does these things:

1. Sees an opportunity for making money
2. Makes a plan
3. Starts the business
4. Manages the business
5. Gets the profit

A business can be a big company that makes televisions or computers. A business can also be small such as a neighbourhood grocery store or a juice stand at a local market.

SUMMARY

In this chapter we have learnt how money has evolved over time and that different countries have different currencies. We have also learnt about the role of money in our lives and the ways in which we can generate income. The chapter encourages you to become an entrepreneur by starting your own business.

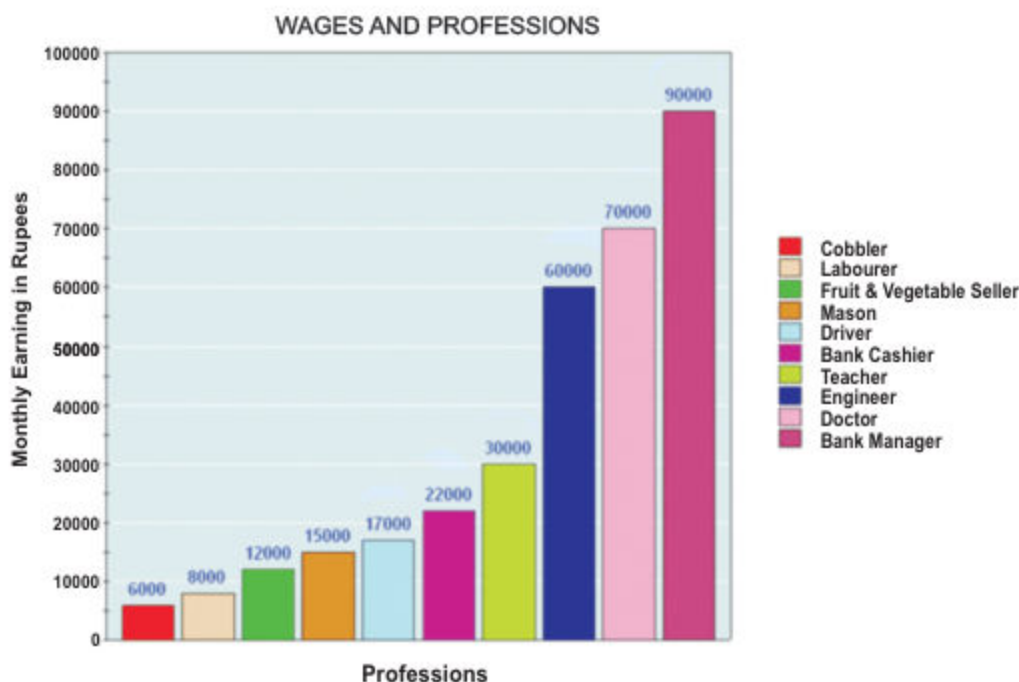
EXERCISE

A. Multiple choice questions

1. For every question, three answers are given; tick the correct one.
 - i. When goods are exchanged for goods the system of exchange is known as
 - a. Barter b. Loan c. Trade
 - ii. What is the currency of Great Britain called?
 - a. Dollar b. Euro c. Pound
 - iii. What is money that is earned called?
 - a. Expenditure b. Income c. Loan
 - iv. Which was the first country to have paper money?
 - a. Australia b. China c. United States of America
 - v. What is money that is spent called?
 - a. Expenditure b. Income c. Loan

B. Answer the questions

1. In chronological order list the way money evolved.
2. List all the ways by which people generate income.
3. List three reasons why people in different professions are paid different wages. Do you think this is fair? Give two reasons for your answer.
4. Name three goods sold and three services offered in your neighbourhood. Besides each write down what it costs. Find out from your parents what is cost when they were as young as you.
5. Interpret the graph of wages and professions given below to identify the relationship between the two. Answer the following questions.



- (i) Who has the lowest earning per month?
- (ii) Who has the highest earning per month?
- (iii) Who earns more than an engineer but less than a bank manager?
- (iv) Who earns more than a bank cashier but less than an engineer?
- (v) Why is there a difference in earnings of different professions?

C. Make a table

Make a table listing the names of ten countries of the world in column A and the name of the currency of the countries in column B.

D. Practical work

1. Talk to a businessperson in your neighbourhood. And find out how she/he runs her/his business. You may ask them the following questions.

- (i) Where did you get the idea of starting this business
- (ii) How did you plan for and start the business?
- (iii) From where do you buy the things needed for your shop/business
- (iv) How many people work with you in running this business?
- (v) What other costs are there in this business?
- (vi) Do you have any partners in this business?
- (vii) What is their share in the profit
- (viii) Who buys the goods that you are selling?
- (ix) How do you calculate your profit or loss?

E. Extension activity

Money plays a very important role in our lives. Do you think it is alright to acquire money through wrong means (eg. stealing, charging more than the price, taking money to do something you are paid to do)? Give three reasons for your answer.